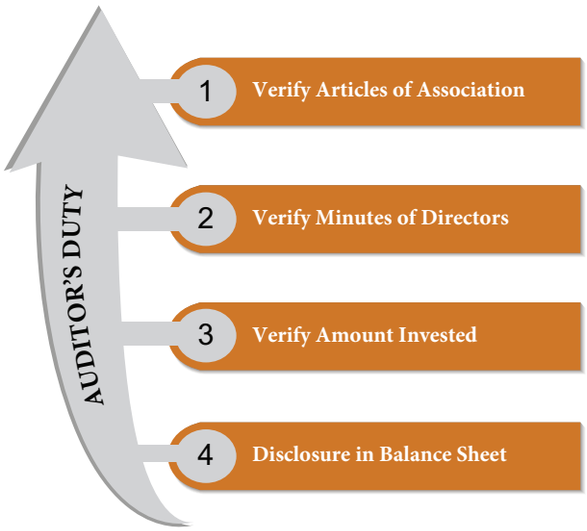
Objects of Creating Sinking Fund

The objects of creating Sinking Fund are as follows:

- To reduce a liability for example, redemption of debentures or repayment of a loan.
- To replace a wasting asset.
- To replace a depreciating asset.
- To renew a lease.



AUDITOR'S DUTY



1. **Verify Articles of Association:** Auditor should verify Articles of Association and examine the creation and utilisation of the fund.
2. **Verify Minutes of Directors:** He should verify the Minutes of the Board of Directors to ensure the correctness of the amount transferred to Sinking Fund.
3. **Verify amount Invested:** He should ensure that the amount set aside is invested in guilt-edged securities known as Sinking Fund Investment which earns a reasonable rate of return.
4. **Disclosure in Balance Sheet:** The auditor should verify that sinking fund and Sinking Fund Investment is separately and properly disclosed in the Balance Sheet.

8.2 Provisions

8.2.1 Meaning

Provision is an amount which is set aside as a charge against earnings to meet a loss which may arise on the sale or realization of certain asset or diminution in the value of an asset or to meet heavy depreciation, repairs and renewals or to meet a known liability. Provisions are created for a specific known liability or contingency and they can be used to meet only the specific liability for which they are created.

Examples of Provisions: (1) Provision for Depreciation (2) Provision for Taxation (3) Provision for Doubtful Debts (4) Provision for discount on Debtors (5) Provision for Repairs and Renewals.

8.2.2 Definition

- **Companies Act** defines the term Provision as, "any amount written off or retained by way of providing for depreciation, renewal or diminution in the value of assets or retain by way of providing for any known liability of which the amount cannot be determined with substantial accuracy".

Chapter_08.indd 120 12/23/2019 3:10:47 PM